

3.2 WHAT INVESTORS WON'T FUND?

In the previous unit, we discussed what exactly investors want. This unit will be about what investors will not fund - basically the vice versa of what we have discussed in the previous unit.

01 MARKET



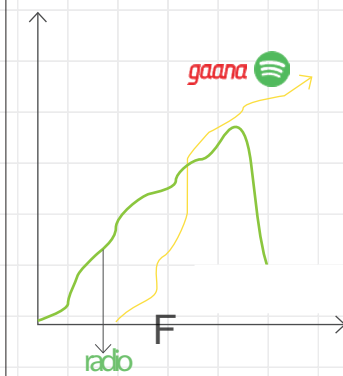
HEAVILY CROWDED MARKET

If there are too many participants in a specific market and your approach is not unique, it is challenging to raise capital. If too many players are in the same field, why should they fund you? They are not short of other companies in less competitive fields.



SMALL MARKET

Any market that is not estimated to be a few hundred million dollars in size and value will not be an attractive option to an investor.



POOR LONG TERM OUTLOOK

Suppose, in the long term, the industry is expected to go down. For example, a large part of radio is being replaced by music streaming applications like Spotify and Gaana. Thus, the long term outlook of the radio industry may be in question. If you plan to do something in a field with poor long-term outlook, the probabilistic capital is reduced.